TROY PROGRAM

Department of Management

Field	Details
Assessment Session	Midterm Exam
Course ID	MGT371
Course Name	Principle of Management
Class ID	____
Exam Group	____
Semester	Spring
Student Name	____
Student ID	____
Signature	____
Form	Midterm Exam
Duration	60 minutes
Exam No	1
Academic year	2025-2026

School/Department Approval
__

Grade	Examiner's Signature	Proctor's Signature

Note: CLOSED BOOK, students does not allow to use hard copy and soft copy materials.

PART 1: MULTIPLE-CHOICE QUESTIONS (5 marks)

Answer the multiple-choice questions in the table below by marking (x) in **ONE** corresponding box to the order of question, and answer options in the test.

1. **Which management function involves setting goals and deciding how best to achieve them?**
    - A. Organizing
    - B. Leading
    - C. Planning
    - D. Controlling
2. **Management is the process of getting things done, effectively and efficiently, through and with:**
    - A. Machines
    - B. Other people
    - C. Technology
    - D. Financial resources
3. **Internal resources that an organization does well are called:**
    - A. Opportunities
    - B. Weaknesses
    - C. Strengths
    - D. Threats
4. **The degree to which tasks in an organization are divided into separate jobs is known as:**
    - A. Departmentalization
    - B. Work Specialization
    - C. Span of Control
    - D. Formalization
5. **In Mintzberg's managerial roles, which role involves transmitting information internally?**
    - A. Monitor
    - B. Spokesperson
    - C. Disseminator
    - D. Figurehead

6. **Who is responsible for making decisions about the direction of the entire organization?**
    - A. First-line managers
    - B. Middle managers
    - C. Top managers
    - D. Team leaders
7. **The "Task Environment" of an organization includes:**
    - A. Economic conditions
    - B. Competitors and Suppliers
    - C. Political/Legal factors
    - D. Technological factors
8. **A plan that is flexible and sets out general guidelines is a:**
    - A. Specific plan
    - B. Single-use plan
    - C. Standing plan
    - D. Directional plan
9. **Management by Objectives (MBO) focuses on goals that are:**
    - A. Set solely by top management
    - B. Jointly determined by subordinates and supervisors
    - C. Informal and unwritten
    - D. Only for the long term
10. **The number of employees a manager can efficiently and effectively manage is called:**
    - A. Unity of Command
    - B. Chain of Command
    - C. Span of Control
    - D. Power Hierarchy
11. **Environmental uncertainty is determined by two dimensions:**
    - A. Size and Technology
    - B. Degree of Change and Degree of complexity
    - C. Effectiveness and Efficiency

- D. Profits and Losses

12. **Which organizational structure groups similar or related occupational specialties together?**
    - A. Simple structure
    - B. Functional structure
    - C. Divisional structure
    - D. Matrix structure
13. **Which departmentalization type groups jobs based on territory or geography?**
    - A. Product
    - B. Functional
    - C. Geographical
    - D. Customer
14. **Conceptual skills are most important for which level of management?**
    - A. First-line managers
    - B. Middle managers
    - C. Top managers
    - D. Non-managerial employees
15. **Which contingency factor suggests that a mechanistic structure is more effective for routine technology?**
    - A. Strategy and Structure
    - B. Size and Structure
    - C. Technology and Structure
    - D. Environmental Uncertainty
16. **In an environment with high uncertainty, managers should:**
    - A. Only check and monitor the environment
    - B. Manage stakeholders through direct methods
    - C. Build strategic relationships with stakeholders
    - D. Limit communication to internal members only
17. **Qualitative evaluation of alternative solutions in the planning process often involves:**

- A. Net Present Value (NPV)
- B. Marginal Cost (MC)
- C. Marginal Revenue (MR)
- D. Experience and deductive analysis

18. **A Matrix structure violates which traditional management principle?**

    - A. Span of Control
    - B. Unity of Command
    - C. Work Specialization
    - D. Decentralization

19. **"Doing things right" refers to _ while "doing the right things" refers to _.**

    - A. Effectiveness; Efficiency
    - B. Efficiency; Effectiveness
    - C. Planning; Organizing
    - D. Organizing; Planning

20. **Organic organizations are characterized by:**

    - A. High formalization and rigid departmentalization
    - B. Narrow spans of control and centralization
    - C. Cross-hierarchical teams and free flow of information
    - D. Clear chain of command and high specialization

PART 2. TRUE or FALSE (3 marks)

Please select the True or False answer by tick on the **T** or **F** column below.

No.	Statements	T	F
21	First-line managers are ultimately responsible for the entire organization's strategies.	☐	☐
22	Mechanistic organizations are highly adaptive and flexible structures that permit change.	☐	☐
23	The wider the span of control, the more levels of management an organization will have.	☐	☐
24	Efficiency is known as "doing the right things" to achieve organizational goals.	☐	☐
25	In traditional goal setting, the assumption is that top managers understand the "overall picture" best.	☐	☐
26	Decentralization is more appropriate when an organization is facing a crisis or risk of failure.	☐	☐
27	Planning is concerned with both the ends (what is to be done) and the means (how it is to be done).	☐	☐
28	Stakeholders are individuals or organizations affected by an organization's decisions.	☐	☐
29	A Hybrid structure combines both simple and functional organizational designs.	☐	☐
30	Formal planning identifies specific goals for the long term and shares them with all members.	☐	☐

PART 3. Open question (2 marks): Surviving in a Volatile Market

"FastTech" is a traditional household appliance manufacturer that has operated successfully for 20 years using a **Mechanistic Structure** with highly specialized jobs and a clear chain of command. However, the market is shifting. New competitors are launching smart, AI-integrated appliances, and technological conditions are changing more rapidly than ever, shifting FastTech into a **"Cell 4" environment of high uncertainty**. Sales are dropping because the current rigid structure and traditional top-down goal setting are too slow to react to these changes. As a newly appointed Strategic Manager, please provide a brief report addressing the following three points:

1. **Environment Analysis:** Identify one factor from the **General Environment** and one factor from the **Task Environment** that are currently creating the most "uncertainty" for FastTech.
2. **Structural Recommendation:** Should FastTech maintain its **Mechanistic** structure or transition toward an **Organic** structure to survive in this Cell 4 environment? Justify your choice with two specific reasons based on the sources.
3. **Planning Strategy:** Suggest whether the company should use **Specific Plans** or **Directional Plans** during this transition, and explain why.